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Case Number: 26NWCV00044 Hearing Date: August 20, 2026 Dept: P

JAMIE LOUISE FERGUSON

v. FINANCE OF AMERICA REVERSE, LLC, ET AL.

CASE NO.: 26NWCV00044

HEARING: 08/20/2026 @ 9:30 AM

#13

TENTATIVE ORDER

I.

Defendants Finance of America Reverse, LLC and Compu-Link Corporation dba Celink's demurrer to the first, third, fourth, fifth, and sixth causes of action is SUSTAINED with 30 days LEAVE TO AMEND.

II.

Defendants' demurrer to the second and seventh causes of action is SUSTAINED without leave to amend.

Moving party to give notice.

Defendants Finance of America Reverse, LLC and Compu-Link Corporation Dba Celink (Defendants) demur to the complaint.

Background

On January 6, 2026, Plaintiff Jamie Lousine Ferguson, as Successor Trustee of The Lucy Marie Hurd 2022 Living Trust (Plaintiff) filed this wrongful foreclosure action against Defendants Finance of America Reverse, LLC, CELINK, Trustee Corps., and Does 1 through 50 (Defendants). The complaint alleges the following: Plaintiff is the trustee of the trust that owns the real property located at 11614 Pruess Avenue, Downey, California, 90241 (Subject Property). (Complaint, ¶ 1.) Lucy Marie Hurd (Hurd), now deceased, was the original borrower under a reverse mortgage loan serviced by Finance of America Reverse, LLC secured by the Subject Property. (Complaint, ¶ 9.) After Ms. Hurd's passing, Plaintiff undertook efforts to repay the reverse mortgage and prevent foreclosure, including submitting the necessary documents to Defendants, providing verification of her authority, affirming her intent to pay off the loan to the servicer, and obtaining two loan approval letters confirming approval of two loans sufficient to cover the full payoff of the reverse mortgage debt. (Complaint, ¶¶ 10-14.) The complaint alleges "[d]espite having received clear and repeated proof of escrow, final loan terms, and verifiable capacity to pay off the loan, Defendants failed to provide a current payoff quote, failed to acknowledge the scheduled closing, and proceeded with scheduling a trustee sale for December 9, 2025." (Complaint, ¶ 16.) The complaint alleges that the foreclosure sale occurred despite Defendants receiving documentation showing a closing date of December 12, 2025, three days after the sale. (Complaint, ¶ 18.)

The complaint asserts seven causes of action: (1) Wrongful Foreclosure; (2) Violation of California Civil Code § 2924p (Delayed Deed Recording); (3) Violation of Homeowner Bill of Rights (HBOR) – Civil Code §§ 2923.6, 2924.11; (4) Negligence; (5) Violation of Business and Professions Code § 17200 (Unfair Business Practices); (6) Declaratory Relief; and (7) Injunctive Relief.

This is a continuation. On July 28, 2026, this demurrer first came on for hearing. The Court continued the hearing to today's date based on Plaintiff's untimely opposition filed on July 23, 2026. The Court permitted Defendants to file a reply.

On August 13, 2026, Defendants filed a reply.

Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) In assessing a demurrer, the court "treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of law." (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) "The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action." (Hahn, supra, 147 Cal.App.4th at p. 747.) A complaint will be upheld against a demurrer if it pleads facts sufficient to place the defendant on notice of the issues sufficient to enable the defendant to prepare a defense. (Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 549-50.)

"Generally it is an abuse of discretion to sustain a demurrer without leave to amend if there is any reasonable possibility that the defect can be cured by amendment." (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.) A "[p]laintiff must show in what manner he can amend his complaint and how that amendment will change the legal effect of his pleading." (Ibid.)

Meet and Confer

Code of Civil Procedure section 430.41 requires that the demurring party meet and confer in person, by telephone, or by video conference at least five days before the responsive pleading is due. (Code Civ. Proc., § 430.41, subd. (a).) The demurring party shall file and serve a declaration stating either: (a) "The means by which the demurring party met and conferred…and that the parties did not reach an agreement resolving the objections raised in the demurrer" or (b) "[t]hat the party who filed the pleading subject to demurrer failed to respond to the meet and confer request of the demurring party or otherwise failed to meet and confer in good faith." (Code Civ. Proc., § 430.41, subd. (a)(3).)

The parties have adequately met and conferred. (Thomley Decl., ¶ 5.)

Request for Judicial Notice

Defendants request the Court take judicial notice of the following documents:

1.
Adjustable Rate Home Equity Conversion Deed of Trust, recorded on January 28, 2021 as Instrument No. 20210157979 in the Official Records of the Los Angeles County Recorder’s Office.

2.
Assignment of Deed of Trust, recorded on February 14, 2025 as Instrument No. 20250097300 in the Official Records of the Los Angeles County Recorder’s Office.

3.
Notice of Default and Election to Sell Under Deed of Trust, recorded on May 14, 2025 as Instrument No. 20250320000 in the Official Records of the Los Angeles County Recorder’s Office.

4.
Notice of Trustee’s Sale, recorded on August 11, 2025 as Instrument No. 20250544607 in the Official Records of the Los Angeles County Recorder’s Office.

5.
Trustee’s Deed Upon Sale, recorded on January 28, 2026 as Instrument No. 20260064532 in the Official Records of the Los Angeles County Recorder’s Office.

Defendants’ request for judicial notice is GRANTED pursuant to Evidence Code section 452, subdivision (h). (See Yvanova v. New Century Mortgage Corp. (2016) 62 Cal.4th 919, n. 1; Glaski v. Bank of America (2013) 218 Cal.App.4th 1079, 1090 [“Courts can take judicial notice of the existence, content and authenticity of public records and other specified documents, but do not take judicial notice of the truth of the factual matters asserted in those documents.”].)

Discussion

Defendants demur to all causes of action in Plaintiff’s complaint on the grounds that the complaint fails to state facts sufficient to constitute the causes of action.

Plaintiff generally opposes this demurrer on the grounds that Defendants misunderstand the complaint. Plaintiff states that she does not challenge Defendants' authority to foreclose, "[r]ather, Plaintiff alleges that, after the Borrower's death, she undertook substantial efforts to satisfy the reverse mortgage through refinancing and escrow, and that Defendants' mishandling of the payoff process prevented completion of the payoff before proceeding with foreclosure." (Opp., 3:25-28.)

First
Cause of Action – Wrongful Foreclosure

"The elements of a wrongful foreclosure cause of action are: (1) [T]he trustee or mortgagee caused an illegal, fraudulent, or willfully oppressive sale of real property pursuant to a power of sale in a mortgage or deed of trust; (2) the party attacking the sale (usually but not always the trustor or mortgagor) was prejudiced or harmed; and (3) in cases where the trustor or mortgagor challenges the sale, the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from tendering." (Citrus El Dorado, LLC v. Chicago Title Co. (2019) 32 Cal.App.5th 943, 948, quotation marks omitted.) "The second element--prejudice--is met where an irregularity in the proceeding adversely affects the trustors' ability to protect their interest in the property. 'Prejudice,' however, 'is not presumed from 'mere irregularities' in the process.'" (Ram v. OneWest Bank, FSB (2015) 234 Cal.App.4th 1, 11.) "The third element--tender--requires the trustor to make 'an offer to pay the full amount of the debt for which the property was security.'" (Ibid.)

Defendants first argue that Plaintiff is not the real party in interest. "Every action must be prosecuted in the name of the real party in interest, except as otherwise provided by statute." (Code Civ. Proc., § 367.)

The complaint alleges Hurd was the original borrower under a reverse mortgage loan secured by the Subject Property. (Complaint, ¶ 9.) The complaint alleges that Defendants wrongfully foreclosed on the Subject Property by proceeding with a trustee's sale which Plaintiff "was actively working to complete a refinance and full payoff of the reverse mortgage loan following the death of her mother, Lucy Marie Hurd." (Complaint, ¶ 24.)

Plaintiff argues that the complaint alleges a de facto violation of Civil Code section 2924c, subdivision (a)(1) which notes "the trustor or mortgagor or their successor in interest in the mortgaged or trust property or any part thereof…may pay to the beneficiary or the mortgagee or their successors in interest, respectively, the entire amount due, at the time payment is tendered…" (Civ. Code, § 2924c, subd. (a).) However, as argued by Defendants in reply, Plaintiff concedes that the complaint does not cite this provision. Additionally, as argued by Defendants, Civil Code section 2924c, subdivision (a)(1) does not apply to payoffs of reverse mortgage loans with are due and payable due to a borrower's death. Civil Code section 2924c, subdivision (a)(1) provides:

Whenever all or a portion of the principal sum of any obligation secured by deed of trust or mortgage on real property or an estate for years therein hereafter executed has, prior to the maturity date fixed in that obligation, become due or been declared due by reason of default in payment of interest or of any installment of principal, or by reason of failure of trustor or mortgagor to pay, in accordance with the terms of that obligation or of the deed of trust or mortgage, taxes, assessments, premiums for insurance, or advances made by beneficiary or mortgagee in accordance with the terms of that obligation or of the deed of trust or mortgage […]

(Civ. Code, § 2924c, subd. (a)(1).) Moreover, Defendants argue that even if this provision applied, Defendants would not have violated it. Defendants show that the provision permits reinstatement "at any time within the period specified in subdivision (e)." (Civ. Code, § 2924c, subd. (a)(1).) Subdivision (e) provides: "Reinstatement of a monetary default under the terms of an obligation secured by a deed of trust, or mortgage may be made at any time within the period commencing with the date of recordation of the notice of default until five business days prior to the date of sale set forth in the initial recorded notice of sale." (Civ. Code, § 2924c, subd. (e).) Defendants then point to the Notice of Trustee's Sale which states that the sale was scheduled for October 14, 2025. (RJN., Exh. 4.) Per Civil Code section 2924c, subdivision (e)'s five business days requirement, Defendants show that the right of reinstatement that Plaintiff could claim under Subdivision (a)(1) would have expired. Therefore, Plaintiff's allegation that she had a projected closing date of December 12, 2025 would not suffice under the provision.

Plaintiff additionally argues that Defendant's bad faith exempted Plaintiff from the tender requirement. "[A] tender may not be required where it would be inequitable to impose such a condition on the party challenging the sale." (Lona v. Citibank, N.A. (2011) 202 Cal.App.4th 89, 113.) Plaintiff points to allegations in the complaint that Defendants breached its statutory duties and the implied covenant of good faith and fair dealing. As raised by Defendants in reply, Plaintiff cites cases dealing with failures to disclose reinstatement amounts, which are not at issue here. Additionally, the Court does not locate allegations in the complaint alleging contractual breaches.

Here, the Court finds that the complaint does not allege standing. The basis for standing raised by Plaintiff is not alleged in the complaint. Moreover, Defendants show that Civil Code section 2924c, subdivision (a)(1) may not provide a basis for standing or relief. Additionally, Plaintiff's arguments that she is excused from the tender requirement are not alleged in the complaint.

Accordingly, Defendants demurrer to the first cause of action is SUSTAINED with 30 days LEAVE TO AMEND.

Second
Cause of Action – Violation of Civil Code § 2924p

Civil Code section 2924p requires institutional investors who acquire residential properties through foreclosures to accept offers from "eligible bidders." As argued by Defendant, this section does not apply to this action.

Defendants assume, and the Court agrees (based on the language cited in the complaint), that Plaintiff intended to cite Civil Code section 2924m. To the extent that Plaintiff asserts a cause of action under Civil Code section 2924m, this fails because there is no private right of action.

"A violation of a state statute does not necessarily give rise to a private cause of action…Instead, whether a party has a right to sue depends on whether the Legislature has 'manifested an intent to create such a private cause of action' under the statute." (Lu v. Hawaiian Gardens Casino, Inc. (2010) 50 Cal.4th 592, 596.)
"A statute creates a private right of action only if the enacting body so intended." (Farmers Ins. Exchange v. Superior Court (2006) 137 Cal.App.4th 842, 849-50, citing Moradi–Shalal v. Fireman's Fund Ins.

Companies (1988) 46 Cal.3d 287, 305.)

Civil Code section 2924m, subdivision (j) limits the enforcement of the section: “The Attorney General, a county counsel, a city attorney, or a district attorney may bring an action for specific performance or any other remedy at equity or at law to enforce this section.” Civil Code section 2924m, subdivision (j) does not otherwise create a private right of action, and the Court is inclined to read Civil Code section 2924m, subdivision (j) as such a limitation.

The Court notes that Plaintiff does not address this claim in opposition.

Accordingly, Defendants’ demurrer to the second cause of action is SUSTAINED without leave to amend.

Third
Cause of Action – Violation of Civil Code §§ 2923.6, 2924.11, 2923.7

Defendants demur to the third cause of action on the grounds that Plaintiff is not a borrower under HBOR.

“Unless otherwise provided and for purposes of Section … 2923.6, 2923.7… 2924.11… ‘borrower’ means any natural person who is a mortgagor or trustor and who is potentially eligible for any federal, state, or proprietary foreclosure prevention alternative program offered by, or through, his or her mortgage servicer.” (Civ. Code, 2920.5, subd. (c).)

Civil Code section 2923.6, subdivision (c) applies “[i]f a borrower submits a complete application for a first lien loan modification offered by, or through, the borrower’s mortgage servicer.” Civil Code section 2923.7, subdivision (a) applies “[w]hen a borrower requests a foreclosure prevention alternative.” Civil Code section 2924.11 applies to the approval of foreclosure prevention alternatives.

As discussed above, the complaint alleges Hurd was the mortgagor or trustor. (Complaint, ¶ 9.) Plaintiff is not alleged to be mortgagor or trustor of the loan. Moreover, the Court notes that a borrower is a “natural person,” and Plaintiff, acting in a representative capacity for a trust, is not a natural person. The complaint does not allege that Plaintiff was ever a party to the subject loan.

Therefore, Defendants' demurrer to the second cause of action is SUSTAINED with 30 days LEAVE TO AMEND.

Fourth
Cause of Action – Negligence

The elements for a cause of action for negligence are "(1) a legal duty to use due care; (2) a breach of that duty; (3) a reasonably close causal connection between that breach and the resulting injury; and (4) actual loss or damage." (Ahern v. Dillenback (1991) 1 Cal.App.4th 36, 42.)

The complaint alleges "Defendants…owed Plaintiff a legal duty to exercise reasonable care in servicing the reverse mortgage loan secured by the [Subject Property] and in managing the foreclosure process following the death of the borrower, Lucy Marie Hurd. As the Successor Trustee of The Lucy Marie Hurd 2022 Living Trust, and the individual actively attempting to pay off the loan, Plaintiff was a foreseeable party directly affected by Defendants' conduct and entitled to rely on their good faith performance of their obligations." (Complaint, ¶ 49.) Further, "[t]hat duty included…responding to loan-related inquiries in a timely and accurate manner, providing complete and updated payoff information, accepting and processing refinance efforts in good faith, recognizing Plaintiff's legal authority to act on behalf of the deceased borrower, postponing the foreclosure sale when viable financing was pending, and refraining from actions that would unreasonably interfere with Plaintiff's ability to complete the refinance." (Complaint, ¶ 50.)

Defendants argue that Defendants cannot owe a duty of care to Plaintiff. "[A]s a general rule, a financial institution owes no duty of care to a borrower when the institution's involvement in the loan transaction does not exceed the scope of its conventional role as a mere lender of money." (Nymark v. Heart Fed. Savings & Loan Assn. (1991) 231 Cal.App.3d 1089, 1096. " 'Liability to a borrower for negligence arises only when the lender "actively participates" in the financed enterprise "beyond the domain of the usual money lender."' " (Ibid., citation omitted.) "[A] loan modification is the renegotiation of loan terms, which falls squarely within the scope of a lending institution's conventional role as a lender of money. A lender's obligations to offer, consider, or approve loan modifications and to explore foreclosure alternatives are created solely by the loan documents, statutes, regulations, and relevant directives and announcements from the United States Department of the Treasury, Fannie Mae, and other governmental or quasi-governmental agencies.” (Lueras v. BAC Home Loans Servicing, LP (2013) 221 Cal.App.4th 49, 67 [“If the lender did not place the borrower in a position creating a need for a loan modification, then no moral blame would be attached to the lender's conduct.”].)

In opposition, Plaintiff argues that the complaint does not base her negligence claim on the existence of a reverse mortgage, rather, the complaint alleges Defendants voluntarily undertook to administer the payoff process.

Here, the complaint alleges duties that fall squarely within a lender’s conventional role a money lender. Defendants’ duties to prevent foreclosure are covered in the loan documents. (See Lueras, supra, 221 Cal.App.4th at p. 68.) Even if Plaintiff alleges that she is a borrower to whom Defendants owed a duty, the complaint does not allege duties beyond that of a conventional money lender. Plaintiff’s arguments that the complaint alleges mishandling of the payoff process do not go beyond that of a lender’s conventional role. (See id., at p. 67 [“If the lender did not place the borrower in a position creating a need for a loan modification, then no moral blame would be attached to the lender's conduct.”].)

Accordingly, the demurrer to the fourth cause of action is SUSTAINED with 30 days LEAVE TO AMEND.

Fifth
Cause of Action - Unfair Business Practices

To set forth a claim for a violation of Business and Professions Code section 17200 (UCL), Plaintiff must establish that Defendants were engaged in an “unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising” and certain specific acts. (Bus. & Prof. Code, § 17200.) A cause of action for unfair competition “is not an all-purpose substitute for a tort or contract action.” (Cortez v. Purolator Air Filtration Products Co. (2000) 23 Cal.4th 163, 173.) Section 17200's “unlawful” prong “borrows violations of other laws. . .and makes those unlawful practices actionable under the UCL.” (Klein v. Chevron U.S.A., Inc. (2012) 202 Cal.App.4th 1342, 1383.) “[V]irtually any law or regulation—federal or state, statutory or common law—can serve as [a] predicate for a…[section] 17200 ‘unlawful’ violation.'" (Id.) "Prevailing plaintiffs are generally limited to injunctive relief and restitution." (Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co. (1999) 20 Cal.4th 163, 179.)

The complaint alleges that Defendants' conduct in violating certain provisions under the HBOR constitute unlawful practices. (Complaint, ¶¶ 57, 60.) Additionally, the complaint alleges Defendants' conduct offends public policy as "Defendants engaged in deceptive and misleading conduct by providing inconsistent communications, failing to respond to formal authorization letters and payoff requests, and allowing the foreclosure to proceed despite having full knowledge that the loan could be paid off within days." (Complaint, ¶ 59.) The complaint alleges "[a]s a result…Plaintiff suffered substantial economic and non-economic harm, including the wrongful loss of the subject property, emotional distress, disruption of her role as trustee, and the loss of significant equity in the home." (Complaint, ¶ 61.) The complaint alleges "Plaintiff is entitled to restitution for all money and property lost as a result of these practices, as well as injunctive relief to prevent further violations and a declaration of rights." (Complaint, ¶ 61.)

Defendants argue that Plaintiff's allegations are not stated with reasonable particularity and that compensatory damages are not available under the UCL.

Here, since the Court sustains the demurrer as to the HBOR violations, Plaintiff's UCL claim which is predicated on the alleged violations cannot survive. Moreover, as the sale of the Subject Property has already taken place, Plaintiff cannot obtain injunctive relief or restitution. (See RJN, Exh. 5.)

Accordingly, Defendants' demurrer to the fifth cause of action is SUSTAINED with 30 days LEAVE TO AMEND.

Sixth
Cause of Action – Declaratory Relief

Code of Civil Procedure section 1060 provides: "Any person interested under a written instrument, excluding a will or a trust, or under a contract, or who desires a declaration of his or her rights or duties with respect to another, or in respect to, in, over or upon property, or with respect to the location of the natural channel of a watercourse, may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action or cross-complaint in the superior court for a declaration of his or her rights and duties in the premises, including a determination of any question of construction or validity arising under the instrument or contract." A cause of action for declaratory relief should not be used as a second cause of action for the determination of identical issues raised in another cause of action. (General of America Insurance Co. v. Lilly (1968) 258 Cal.App.2d 465, 470.)

The complaint seeks a declaration "that the trustee's sale conducted by Defendants was unlawful and procedurally defective, and that the sale is therefore invalid or voidable under California law." (Complaint, ¶ 65.)

This declaration is wholly derivative of the sustained causes of action here and therefore does not survive demurrer. (Ball v. FleetBoston Financial Corp. (2008) 164 Cal.App.4th 794, 800 ["where a trial court has concluded the plaintiff did not state sufficient facts to support a statutory claim and therefore sustained a demurrer as to that claim, a demurrer is also properly sustained as to a claim for declaratory relief which is 'wholly derivative' of the statutory claim."].)

Accordingly, Defendants' demurrer to the sixth cause of action is SUSTAINED with 30 days LEAVE TO AMEND.

Seventh Cause of Action – Injunctive Relief, Code of Civil Procedure § 526

Plaintiff "requests an order restraining Defendants, and all persons acting in concert with them, from recording a trustee's deed upon sale, transferring title to a third party, or taking any steps toward eviction of Plaintiff or any occupants of the Property, until this Court has fully adjudicated the claims presented in this action." (Complaint, ¶ 70.)

As discussed above, there is nothing to enjoin as the Subject Property has been sold, and a Trustee's Deed Upon Sale, recorded. (See RJN, Exh. 5.) "If a trustee's deed upon sale has not been recorded, a borrower may bring an action for injunctive relief to enjoin a material violation." (Civ. Code, § 2924.12, subd. (a)(1), emphasis added.) Additionally, "[i]Injunctive relief is a remedy, not a cause of action." (Guessous v. Chrome Hearts, LLC (2009) 179 Cal.App.4th 1177, 1187.)

Accordingly, Defendants' demurrer to the seventh cause of action is SUSTAINED without leave to amend.